CHARTERED ACCOUNTANTS ACADEMY

AUDTING DEPARTMENT

CERTIFICATE OF THEORY IN ACCOUNTING

STUDY UNIT 4: OTHER ENGAGEMENTS

TABLE OF CONTENTS **PAGE**

Contents

1. Introduction 105
2. Objective of Other Engagements 105
3. Scope/ Relevant ISAs 105
4. Study Material 105
5. Competence Framework expectation 106
6. Examination possibilities 106
7. Assumed Knowledge 106
8. Integration 106
9. Course Notes – Study Unit D 107
   9.1 Review engagements (ISRE 2400 AND ISRE 2410) 107
   9.2 Focus point 108
   9.3 Review procedures: 108
   9.4 Agreed-upon procedures (ISRS 4400) 109
   9.5 Compilation engagement (ISRS 4410) 110
   END OF UNIT D PRACTICE QUESTION 111

1. Introduction

A professional accountant may be required to perform other engagements other than an audit of financial statements.

2. Objective of Other Engagements

- **Identifying and understanding the different levels of assurance and** the related reports associated with the varying levels of assurance.
- Describing the principles, procedures and reporting responsibilities relating to related services engagements and other assurance reports, including:
  - Special purpose audit engagements
  - Agreed-upon procedures engagements
  - Compilation engagements
  - Review engagements

- Formulating reports in regard to the above engagements.
- Report on the review of interim financial information performed by the independent auditor of the entity.
- Identifying and understanding the concept and utilization of a due diligence.
- Describing the principles and reporting responsibilities relating to due diligence.
- Formulating procedures in a due diligence engagement to address the relevant objectives and risks.
- Formulating reports in regard to the due diligence engagement.

3. Scope/ Relevant ISAs

- ISRE 2400
- ISRE 2410
- ISRS 4400
- ISRS 4410

4. Study Material

- CAA Applied Auditing AUD 401/2 Module 2 – Study Unit D

5. Competence Framework expectation

- For other engagements identify what set of criteria best applies to the subject matter being evaluated.

6. Examination possibilities

Can be examined in determining whether an auditor should accept other engagements other than assurance or whether any threats to objectivity and independence are created and their significance.

7. Assumed Knowledge

The following is assumed knowledge which you should already have at CTA level.

1. Pre-engagement activities
2. Planning
3. Risk assessment
4. ICAZ Code of Professional Conduct
5. Zimbabwe Companies Act
6. King 4 and National Code of Corporate Governance of Zimbabwe

8. Integration

This topic can be integrated with:

- The Code of professional conduct.
- Financial Management - business valuations
- Financial Accounting – IFRS 13 and IAS 36

9. Course Notes – Study Unit D

9.1 Review engagements (ISRE 2400 AND ISRE 2410)

ISRE 2400 par 14 states that "The practitioners" objectives in a review of financial statements under this ISRE include to obtain limited assurance, primarily by performing **inquiry and analytical procedures**, about whether the financial statements as a whole are free from material misstatement. Thereby enabling the practitioner to express a conclusion on whether anything has come to the practitioner's attention that causes the practitioner to believe the financial statements are not prepared, in all material respects, in accordance with an applicable financial reporting framework.

The engagement does not require a positive opinion but rather requires some credibility to be given to the financial information which is reported on (limited assurance).

Review engagements are regularly performed by auditors. The objective of a review is to provide limited (moderate) assurance, as opposed to a reasonable level of assurance provided by an audit.

9.2 Focus point

What is the difference between reasonable and limited (moderate) assurance?
Assurance may be described as the amount of credibility or "comfort" which the auditor adds to the information on which he or she reports. When an audit is undertaken, comprehensive tests are conducted. This puts an auditor in a position to express an opinion thereby giving a reasonable level of assurance (positive assurance).

When a review is conducted procedures are limited and not as comprehensive as audit procedures and consequently only limited assurance is given. In a review engagement the auditor will obtain sufficient appropriate evidence primarily through inquiry and analytical procedures.

How is positive and limited assurance expressed?

Audit: Positive assurance (ISA 700)

A reasonable level of assurance is conveyed by the use of the phrase "In our opinion ..." supported by a description of the scope of the engagement. The description of the scope of the engagement conveys to the user that comprehensive procedures were performed.

Review: Limited assurance (ISRE 2400)

A moderate level of assurance is conveyed by not using the phrase "In our opinion...." but rather stating that "Nothing came to our attention that causes us to believe that the financial statements are not fairly presented". This is supported by the scope paragraph which conveys that limited procedures were carried out, that an audit was not conducted, and that no opinion is expressed.

9.3 Review procedures:

Review procedures are far less detailed than audit procedures. The following table shows the procedures used in an audit compared to those used in a review:

Audit procedures used in reviews	**Audit procedures not used in reviews**
Enquire Analytical review	Inspect Confirm Reperform Recalculate

When an auditor performs a review:

- The client may not restrict the scope of the engagement.
- The audit procedures are limited, concentrating on:
  - Obtaining knowledge of the entity;
  - Understanding accounting practices;
  - Enquiry of and discussion with management and staff; and
  - Analytical review.
- The auditor is not compelled to obtain substantive evidence.
- The auditor is not compelled to study internal controls.
- If the information appears reliable, the auditor would assume that no amendment to the information is necessary.
- If the information appears unreliable, the auditor would perform additional more detailed procedures.
- The auditor would also:
  - Enquire about subsequent events;
  - Enquire re material assertions;
  - Enquire re meetings of shareholders, board, etc.;
  - Read the financial statements;
  - Read reports from other auditors;
  - Enquire whether all transactions are recorded, and financial statements are prepared in accordance with accounting framework etc.; and
  - Obtain management representations.

9.4 Agreed-upon procedures (ISRS 4400)

In an "agreed-upon procedure" engagement, the auditor is engaged to carry out procedures (usually of an audit nature) which have been agreed-upon by the parties involved, e.g. the auditor, the client and any interested third party. The auditor reports only on the facts found. No opinion or assurance is given; the users of the report are required to draw their own conclusions from the facts presented. The report is restricted to those parties that have agreed to the procedures to be performed since others, unaware of the reasons for the procedures, may misinterpret the results (ISRS 4400 par 6).

The procedures that the auditor can perform to obtain evidence include inquiry and analysis, recomputation, comparison and other clerical accuracy checks, observation, inspection and obtaining confirmations.

Refer to ISRS 4400 Appendix 2 for an example of an agreed-upon procedure report.

9.5 Compilation engagement (ISRS 4410)

In a compilation engagement, the accountant (audit firm) is engaged to use **accounting expertise** as opposed to auditing expertise to collect, classify, and summarize financial information. No testing is conducted, and no assurance is given in the report which accompanies the compiled information.

A compilation engagement would ordinarily include the preparation of financial statements (which may or may not be a complete set of financial statements) but may also include the collection, classification and summarization of other financial information.

Refer to ISRS 4410 Appendix 2 for examples of a compilation report.

PRACTICE QUESTION

You have recently been appointed as the senior manager in the Auditing Technical Department of your audit firm Hot Shot Auditors ("HSA"). Your daily responsibilities include reviewing emails sent to you by the trainees, managers, and partners at the firm regarding issues and queries that they have identified at their relevant audits. A response is then prepared providing advice. The following email was received by your department:

From: *NKusaziva@hsa.co.zw*
Date: *27 October 2018*
To: *audit_technical@hsa.co.zw*
Subject: *Interim review of condensed financial statements*
Hi, I desperately need your assistance please!

I'm an audit trainee in the Public-Sector Division but have recently been assigned to a client in the Consumer Products Division ("CIPD") due to a lack of staffing and an exceptionally busy period within our firm. I have absolutely no experience on private sector auditing and my audit manager is overseas at the moment, so he is unable to assist me.

My client is Retailman Limited, a specialised accounting software development company listed on the ZSE Securities Exchange. The holding company of Retailman Ltd, *Accounting-Pack USA Inc.,* requires interim financial statements for incorporation in their own half-year reports which will be published in the United States.

Retailman Ltd intends to prepare condensed interim financial statements, in compliance with IAS 34. We have been appointed to review the interim results of Retailman Limited. The financial director of Retailman Ltd, Miss Kasiyazi, has indicated that she intends to use the reviewed interim financials in order to obtain a loan from the company's bankers. This loan will be utilised to fund further research and development into additional specialisation of software products.

We have been provided with the following information from Miss Kasiyazi:

CONDENSED STATEMENT OF COMPREHENSIVE INCOME	30-Sep-18	30-Sep-17
	$ million	$ million
Revenue	310	200
Cost of Goods Sold	(120)	(100)
Gross Margin	**190**	**100**
Operating Expenses	-40	-30
Other expenses	-1	-
Interest	-1	-1
Tax	-25	-20
Profit for the year	**123**	**49**

CONDENSED STATEMENT OF FINANCIAL POSITION	30-Sep-18	31-Mar-17
	$ million	$ million
Goodwill	92	80
Development costs	7	1
Property, plant and equipment	0.8	1
Current assets	96	86
	196	**168**
Equity	160	57
Non-current liabilities	18	15
Current liabilities	18	96
	196	**168**

	My three questions which I need assistance with are:	
a)	What is the difference between an audit and a review?	**8**
b)	What review procedures would I need to perform for a review of the above information?	**20**
c)	If a review is different from an audit, do we still have a risk of liability to the Retailman bankers?	**5**

Required

With regard to the emails, provide suitable responses to the queries raised. A breakdown of the mark allocation has been provided in the question.

Solution

a)	**What is the difference between an audit and a review?**	**8**
	An audit engagement is designed to provide a reasonable level of assurance regarding the subject matter.	**1**
	A review engagement is designed to provide a limited assurance regarding the subject matter.	**1**
	The review engagement is thus of a lower level of assurance than an audit engagement.	**1**
	The audit engagement would involve *inter alia* tests of detail whereas a review engagement is limited to enquiry and analytical review.	**1**
	Ultimately an audit engagement is directed towards the expression of an opinion in positive terms, whereas a review is directed towards the expression of an opinion in negative terms. ✓ audit – in our opinion the financial statements fairly present; ✓ review – nothing came to our attention to indicate that the financial statements were not fairly presented	**1** **1** **1** **1**
	In a review engagement there will be a specific record that an audit was not conducted, and that less assurance is provided than if an audit were conducted.	**1**

b)	What review procedures would I need to perform for a review of the above information?	20
	Agree all the figures to the trial balance and ledger	
	Enquire from the financial director and accounting staff what procedures were undertaken to ensure completeness, accuracy and correct cut-off of data for purposes of the financial statements	
	Enquire into the reasons for the significant change in revenue.	
	Enquire regarding the unusual change in gross margin considering that GP has increased by 11 %: ✓ consider whether proper accruals have been made for purchases/creditors at year end ✓ consider whether stock has been properly valued obtain and review documents dealing with the above.	**1** **1** **1**
	Enquire regarding the significant increase in goodwill in the year – consider whether new acquisitions were made.	**1**
	Enquire and consider why no deferred tax appears on the statement of financial position	**1**
	Review tax computation and fixed asset schedules to discern whether this is possible.	**1**
	Enquire regarding "inter-group profit" in the income statement and consider why this has not been eliminated on consolidation	**1**
	Obtain year-end final stock schedules.	**1**
	Examine the underlying make-up of the operating expenses and compare the year-on-year figures for each line item to assess whether change appears reasonable. Increase of 33 % appears excessive.	**1**
	Investigate any unusual variations	**1**
	Obtain consolidation spreadsheet and consolidating journal entries	**1**
	Review spreadsheets and journal entries for apparent anomalies or obvious errors	**1**
	Consider interest in relation to long term and other interest-bearing borrowings having regard to the rates of interest attracted by the company's borrowings	**1**
	Obtain and review tax computation – establish reasons for the apparently very low tax rate	**1**
	Review of consolidation spreadsheet and consider whether the allocation of the group profit appear reasonable.	**1**
	Obtain and review schedules reflecting assets and liabilities acquired and the calculation of goodwill.	**1**
	Obtain the schedule of development costs and establish the reasons for the significant increase.	**1**
	Establish the basis upon which the group determined whether the costs could be capitalised in accordance with IFRS.	**1**
	Obtain workings reflecting how group tested whether capitalisation of costs met the criteria of IAS 38.	**1**
	Obtain a schedule of fixed assets and consider whether the year-on-year change appears to conform with the depreciation policy.	**1**

	Obtain underlying detail of current assets and compare the year-on-year change for each and for the relevant items compared to related income statement items i.e. creditors to Purchases, Cost of Goods Sold and Inventory, Sales and Debtors etc.	**1**
	Follow-up on any unusual variations.	**1**
	Establish how the group determined what should be classified as long-term liability (as opposed to short term liability).	**1**
	Obtain and review schedule of long-term liabilities.	**1**
	Obtain underlying detail of current liabilities and consider each of the items on a year-on-year basis, considering whether the change appears reasonable	**1**
	Consider the items within current liabilities in relation to related income statement items e.g. trade creditors to Purchases, overdraft to interest	**1**
	Establish reason for significant decrease in current liabilities – consider and make enquiries regarding possible understatement of current liabilities.	**1**
	Consider whether all appropriate accruals have been made.	**1**
	Compare the financial statements to the records to establish that these agree and that the financial statements are drawn from the records.	**1**
	Obtain confirmation and representation letter from management re all key financial issues	**1**
	Establish whether a dividend was declared during the year as last year's equity and this year profit does not equal this year's equity.	**1**
	Establish basis upon which profit and revenue on government contract recognised and review workings.	**1**
	Available	**37**
	Max	**20**

c)	**If a review is different from an audit, do we still have a risk of liability to the Retailman bankers?**	**5**
	As we are the auditors of Retailman and will also be performing the review in terms of ISRE 2410, s46 of the APA still applies.	**1**
	Reliance by the company's bankers on the financial statements would be reliance by a third party **1** and as such the bankers would be required to prove the following in terms of s 46 of the APA (Auditing Professions Act): ✓ that the audit firm was negligent in the performance of its work ✓ that the banks relied on the audited financial information in order to grant the loan ✓ that the reliance caused the loss that the audit firm knew or should have known that bankers would rely (it seems this was known as it was specifically discussed with them).	**1** **1** **1** **1**
	Max	**5**
	Available	**6**